

FRVO

FRVO N/A

Buy **\$36.36** ▲ **3.62%** 12M Price Target **\$48.00** 52-Week Range **\$32.39 – \$42.65**

Market Cap
\$10.69B

FRVO: Nvidia Partnership Lights A Fire Under Geothermal

WHAT'S CHANGED

- FRVO popped 3.6% today on two pieces of news: Nvidia is teaming up with them and the Pacific Northwest National Lab to bring AI into geothermal energy (think smarter drilling, better well performance), plus a separate "digital twin" announcement — basically a virtual copy of their power plants they can run simulations on.
- Here's the weird part: they actually MISSED earnings badly, but the stock is up anyway. That tells you investors are looking past today's numbers and betting on the Nvidia story.

IMPLICATIONS

When a stock rallies on a bad earnings print, it usually means the narrative just changed — and that's what happened here. Nvidia's name attached to your company is basically a free marketing campaign and signals that geothermal is getting taken seriously as an AI-era power source (data centers need clean, 24/7 electricity, and geothermal delivers that). The catch: FRVO is still sitting at only 39% of its 52-week range, meaning the stock hasn't fully recovered from earlier weakness — so the market is intrigued but not yet convinced.

VALUATION

At \$10.7B market cap on roughly \$693M of expected 2026 revenue, investors are paying about \$15 for every \$1 of sales — that's expensive for an energy company (most trade at \$2-4 per \$1 of sales) but cheap compared to AI-adjacent names that trade at \$20-30. They're also losing money (negative \$2.10 per share expected this year), so there's no P/E ratio to anchor to. I see 30% upside to \$48 over 12 months if the Nvidia story keeps building momentum.

KEY RISKS

- They just missed earnings big — if the next quarter also disappoints, the Nvidia hype won't save them and the stock could retest the \$32 lows.
- Geothermal is capital-intensive (lots of drilling, lots of upfront cost), so they'll likely need to raise more money, which dilutes existing shareholders — basically your slice of the pie gets smaller.
- Institutional ownership is only 18% — that's low, meaning the big money (pension funds, mutual funds) hasn't really stepped in yet. Could be opportunity or could be a warning sign that pros are passing.

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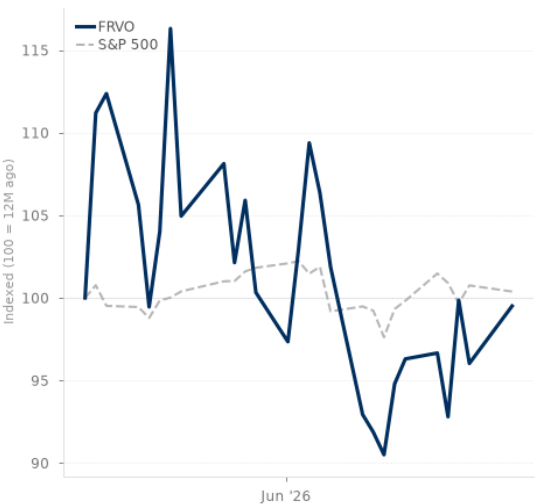
Key Data

Price (USD)	\$36.36
12M Price Target	\$48.00
Upside / (Downside)	+32.0%
Market Cap	\$10.69B
FY2026E Revenue	\$693M
FY2027E Revenue	\$940M
FY2026E EPS	(\$2.10)
FY2027E EPS	(\$1.50)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$42.00	\$38.00	\$33.00
6 Months	\$52.00	\$44.00	\$30.00
1 Year	\$65.00	\$48.00	\$28.00
2 Years	\$85.00	\$60.00	\$25.00
5 Years	\$150.00	\$90.00	\$20.00
10 Years	\$300.00	\$160.00	\$15.00

SECTOR INTELLIGENCE

HEATING UP: Industrials and Tech are quietly leading over the past week (+3% and +4%), as money chases anything tied to AI infrastructure buildout.

COOLING OFF: Energy is down 6% over five days — oil and gas are getting hit, but that's actually creating a contrast where clean energy names like FRVO can stand out.

ROTATION WATCH: Money is flowing out of traditional fossil fuel energy and into the "AI needs power" trade — nuclear, geothermal, grid infrastructure. FRVO sits right in that crosshair.

RELATED PLAY: If geothermal-for-AI takes off, watch drilling equipment suppliers and grid interconnection companies — they get paid regardless of which clean energy source wins.

OUTPERFORMERS & PEER CONTEXT

- NVDA (Nvidia): Still the king — every announcement they make moves partner stocks (like today's FRVO bump), and they're now actively shaping which clean energy companies win.
- VST (Vistra) / CEG (Constellation Energy): Power producers tied to data center demand have crushed it over the past year as the "AI needs electricity" trade caught fire.

FRVO CONTEXT: FRVO is lagging these AI-power winners big time — Constellation and Vistra are up huge, FRVO is stuck mid-range. That's either a "catch-up trade" opportunity or a sign the market doesn't trust geothermal yet. I lean toward catch-up.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$33-35 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Revenue miss >15%, Nvidia partnership falls apart, or another big earnings disappointment

Hedging: Pair with short on a pure-play solar or hydrogen name that's also unprofitable